

Customer Behavior Analysis

Loyal Customers

- Loyal Customers have the lowest average recency (93.25 days), meaning they purchased recently.
- They have the highest purchase frequency (1.20) and highest average spending (R\$333.93).
- This segment is the most valuable group and should be retained.

Regular Customers

- Regular Customers represent the largest customer group (31,506 customers).
- They generate the highest total revenue (R\$5.8M).
- Their purchase frequency is moderate (1.04).
- They have strong potential to become Loyal Customers.

New Customers

- New Customers account for 27,305 customers.
- Their spending is moderate (R\$139.68).
- Since they have only recently made purchases, onboarding strategies are important.

At Risk Customers

- At Risk Customers have high recency (319.98 days).
- Their purchase frequency is low (1.00).
- These customers may stop purchasing if not re-engaged.

Churn Risk Customers

- Churn Risk Customers have the highest recency (403.50 days).
- They spend the least (R\$56.30).
- They are least engaged and require immediate retention efforts.

Step 2: Marketing Recommendations

Targeted Marketing Recommendations

Loyal Customers

- Offer loyalty rewards programs.
- Provide early access to new products.
- Create VIP customer benefits.

Regular Customers

- Recommend personalized product bundles.
- Encourage repeat purchases through promotions.
- Introduce membership incentives.

New Customers

- Send welcome emails.
- Offer first-time purchase discounts.
- Provide onboarding campaigns.

At Risk Customers

- Send personalized reminders.
- Offer limited-time discounts.
- Launch re-engagement campaigns.

Churn Risk Customers

- Run win-back campaigns.
 - Provide strong incentives and discounts.
 - Use urgency-based messaging.
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Step 3: Key Findings

Key Insights

1. Regular Customers contribute the highest overall revenue.
2. Loyal Customers have the highest spending and purchase most frequently.
3. Churn Risk Customers have not purchased for the longest period.
4. At Risk and Churn Risk Customers should be prioritized for retention campaigns.
5. New Customers have strong growth potential.

Step 4: Conclusion

Conclusion

This project applied RFM (Recency, Frequency, and Monetary) analysis to segment Brazilian e-commerce customers into five groups: Loyal Customers, Regular Customers, New Customers, At Risk Customers, and Churn Risk Customers.

The analysis revealed that Loyal Customers are the most valuable segment, while Churn Risk Customers require immediate attention. By implementing targeted marketing strategies, businesses can improve customer retention, increase revenue, and enhance customer lifetime value.

RFM analysis provides a data-driven approach to understanding customer behavior and supports effective decision-making for customer relationship management.